Heartland Workforce Solutions, Inc.
STATEMENTS OF NET POSITION
June 30, 2025 and 2024

	2025	2024
ASSETS		
Current Assets		
Cash and cash equivalents	$ 347,919	$ 874,437
Due from other governments	554,765	483,238
Prepaid assets	16,682	-
Accounts receivable	41,651	168,435
Total current assets	961,017	1,526,110
Noncurrent Assets		
Capital Assets		
Furniture and equipment	485,273	40,502
Leasehold improvements	306,111	287,110
Leasehold improvements not yet in use	-	341,583
Right-of-use operating lease	1,349,835	960,758
Total capital assets	2,141,219	1,629,953
Less accumulated depreciation	(622,965)	(324,876)
Total noncurrent assets	1,518,254	1,305,077
Total assets	$ 2,479,271	$ 2,831,187
LIABILITIES AND NET POSITION		
Current Liabilities		
Accounts payable	$ 857,587	$ 859,830
Accrued payroll expense	55,173	40,784
Current portion lease liability	495,094	339,155
Unearned revenue	-	75,000
Total current liabilities	1,407,854	1,314,769
Noncurrent Liabilities		
Lease liability	931,651	705,369
Total liabilities	2,339,505	2,020,138
Net Position		
Net investment in capital assets	91,509	344,319
Restricted	133,820	128,889
Unrestricted	(85,563)	337,841
Total Net Position	139,766	811,049
Total liabilities and net position	$ 2,479,271	$ 2,831,187

See independent auditor's report and notes to the financial statements.

Heartland Workforce Solutions, Inc.
STATEMENTS OF REVENUE, EXPENSES, AND CHANGES IN NET POSITION
For the Years Ended June 30, 2025 and 2024

	2025	2024
OPERATING REVENUE		
Grant revenue	$ 4,566,541	$ 4,623,203
Rent income	333,041	309,600
Total operating revenue	$ 4,899,582	$ 4,932,803
OPERATING EXPENSES		
Salary and wages	$ 1,063,681	$ 897,324
Payroll tax and employee benefits	263,543	233,130
Payments to subcontractors	2,672,029	2,537,194
Depreciation	298,090	995
Dues	5,864	5,724
Insurance	12,316	8,911
Legal services	526	664
Maintenance	93,442	48,780
Miscellaneous expense	1,312	717
Postage	292	281
Printing	100,658	15,887
Professional fees	266,739	260,460
Rent	509,089	432,014
Training costs	104,488	109,657
Supplies	162,399	10,520
Telephone and communications	23,009	14,771
Travel	16,573	19,930
Utilities	20,542	20,268
Total operating expenses	$ 5,614,592	$ 4,617,227
CHANGE IN NET POSITION	(715,010)	315,576
NET POSITION, BEGINNING OF YEAR (UNADJUSTED)	811,049	495,473
PRIOR PERIOD ADJUSTMENT	43,727	-
NET POSITION, BEGINNING OF YEAR (ADJUSTED)	854,776	495,473
NET POSITION, END OF YEAR	$ 139,766	$ 811,049

See independent auditor's report and notes to the financial statements.

Heartland Workforce Solutions, Inc.
STATEMENTS OF CASH FLOWS
For the years ended June 30, 2025 and 2024

	2025	2024
CASH FLOWS FROM / (USED IN)\ OPERATING ACTIVITIES		
Cash received from rent	$ 459,825	$ 180,911
Cash received from grants for operations	4,495,014	4,661,508
Cash paid to suppliers for goods and services	(4,046,333)	(3,243,353)
Cash paid to employees and on their behalf	(1,312,835)	(1,121,593)
Net Cash From / (Used In) Operating Activities	(404,329)	477,473
CASH FLOWS USED IN INVESTING ACTIVITIES		
Purchase of leasehold improvements	(122,189)	(341,583)
Net cash used in investing activities	(122,189)	(341,583)
NET INCREASE IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	(526,518)	135,890
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, BEGINNING OF YEAR	874,437	738,547
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, END OF YEAR	$ 347,919	$ 874,437
RECONCILIATION OF OPERATING INCOME TO NET CASH FROM / (USED IN) OPERATIONS		
Operating income	$ (715,010)	$ 315,576
Adjustments to reconcile operating income to net cash from / (used in) operating activities:		
Depreciation	298,090	995
Changes in assets and liabilities:		
(Increase)/Decrease in due from other governments	(71,527)	-
(Increase)/Decrease in prepaid assets	(16,682)	-
(Increase)/Decrease in receivables	126,784	(90,384)
(Increase)/Decrease in non-cash operating lease right-of-use asset	-	339,071
Increase/(Decrease) in accounts payable	(2,243)	167,743
Increase/(Decrease) in accrued payroll	14,389	8,861
Increase/(Decrease) in unearned revenue	(75,000)	75,000
Change in operating lease liabilities (net of noncash additions)	36,870	(339,389)
Net Cash From / (Used In) Operating Activities	$ (404,329)	$ 477,473

NONCASH INVESTING AND FINANCING ACTIVITIES

During the year ended June 30, 2025, the Organization engaged in the following noncash investing and financing activities, which are not reflected in the Statement of Cash Flows:

- The Organization recognized right-of-use operating lease assets of $751,529 with corresponding operating lease liabilities related to the commencement and modification of operating lease agreements.
- Leasehold improvements not yet in use totaling $341,583 were placed in service and reclassified to leasehold improvements.
- Cash payments for operating leases are included in cash paid to suppliers for goods and services.

SUPPLEMENTAL CASH FLOW DISCLOSURES

- Cash paid for interest on operating lease liabilities during the year ended June 30, 2025 was $34,829.

See independent auditor's report and notes to the financial statements.